

3.2 Unit 2 ECON2 Economics: The National Economy

This Unit introduces candidates to **macroeconomics**.

Candidates will be required to acquire knowledge and understanding of AD/AS analysis and should be provided with opportunities to use this analysis to explore recent and current economic behaviour. They should understand, and be able to analyse and evaluate, macroeconomic policy.

Candidates should have a good knowledge of developments in the UK economy and government policies over the past ten years but should be able to illustrate the economic cycle from the UK experience, taking as a starting point the boom of the late 1980s, followed by the recession of the early 1990s, and then the subsequent recovery.

Candidates should be aware that the performance of the United Kingdom economy is influenced by its membership of the European Union (EU) and external events in the international economy.

They should be familiar with the various types of statistical and other data which are commonly used by economists.

During their course of study, candidates should be encouraged to develop a critical approach to economic models and methods of enquiry.